

PAYPAL EQUITY VALUATION

Historical analysis, DCF valuation and comparable-company cross-check

Reference market price: September 30, 2026

Executive valuation summary

Method	Implied share price	Upside / (downside) vs market
DCF	\$87.08	65.8%
Forward P/E	\$92.74	76.5%
P/FCF	\$65.67	25.0%
EV/EBITDA	\$49.17	-6.4%
Market price	\$52.53	0.0%

Investment-style takeaway

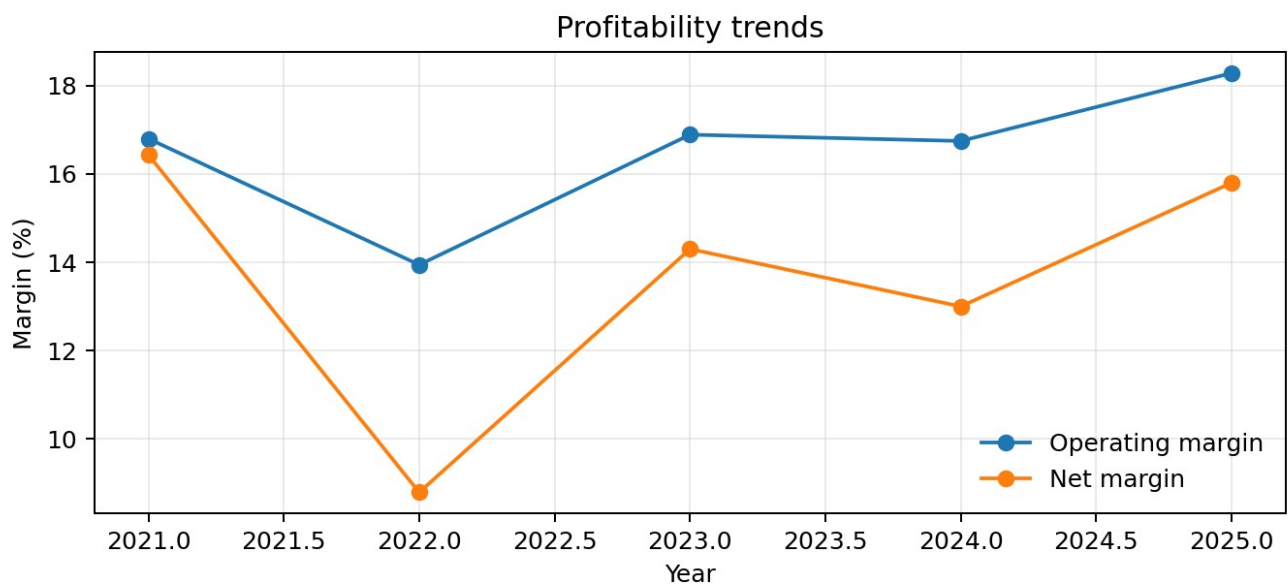
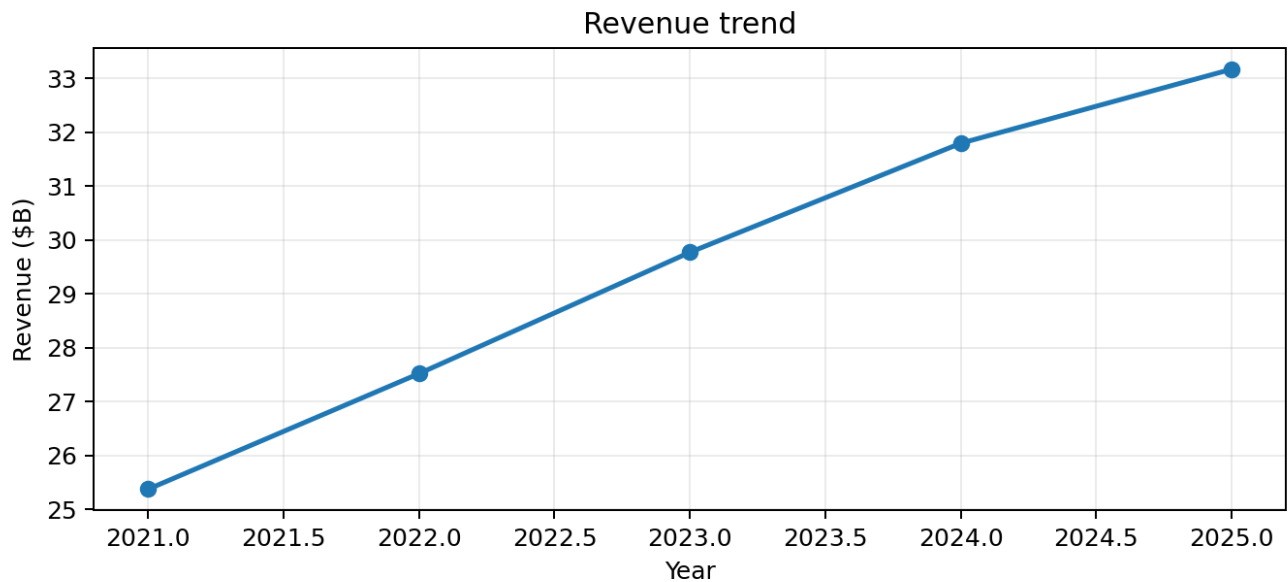
PayPal's model produces a wide valuation range. The DCF implies \$87.08 per share, while the EV/EBITDA cross-check implies about \$49.17. The dispersion reflects different assumptions about future growth, profitability, capital structure and peer comparability, so the output should be interpreted as a range rather than a single precise value.

Key historical observations

- Revenue increased from \$25.4B in 2021 to \$33.2B in 2025, a CAGR of 6.9%.
- Operating margin improved to 18.3% in 2025, while revenue growth slowed to 4.3%.
- Diluted shares declined from 1,186M to 968M, supporting EPS growth.
- 2025 free cash flow was \$5.6B with a 16.8% FCF margin.

1. Historical financial performance

The historical section reviews revenue, profitability, cash generation and capital allocation from 2021 through 2025.



Interpretation

Revenue remained positive across the period but annual growth decelerated. At the same time, operating profitability recovered by 2025. This combination makes future margin assumptions especially important: if revenue growth remains modest, a larger portion of valuation depends on sustained operating efficiency and cash conversion.

2. Forecast and DCF valuation

Assumption	2026E	2030E
Revenue growth	5.0%	4.5%
Operating margin	18.5%	19.3%
Tax rate	19.0%	19.0%
D&A / revenue	2.8%	2.8%
CapEx / revenue	2.6%	2.6%
Change in NWC / revenue	1.0%	1.0%

DCF mechanics

WACC: 9.19%

Terminal growth rate: 2.5%

PV of forecast UFCF: \$21.6B

PV of terminal value: \$62.3B

Enterprise value: \$83.9B

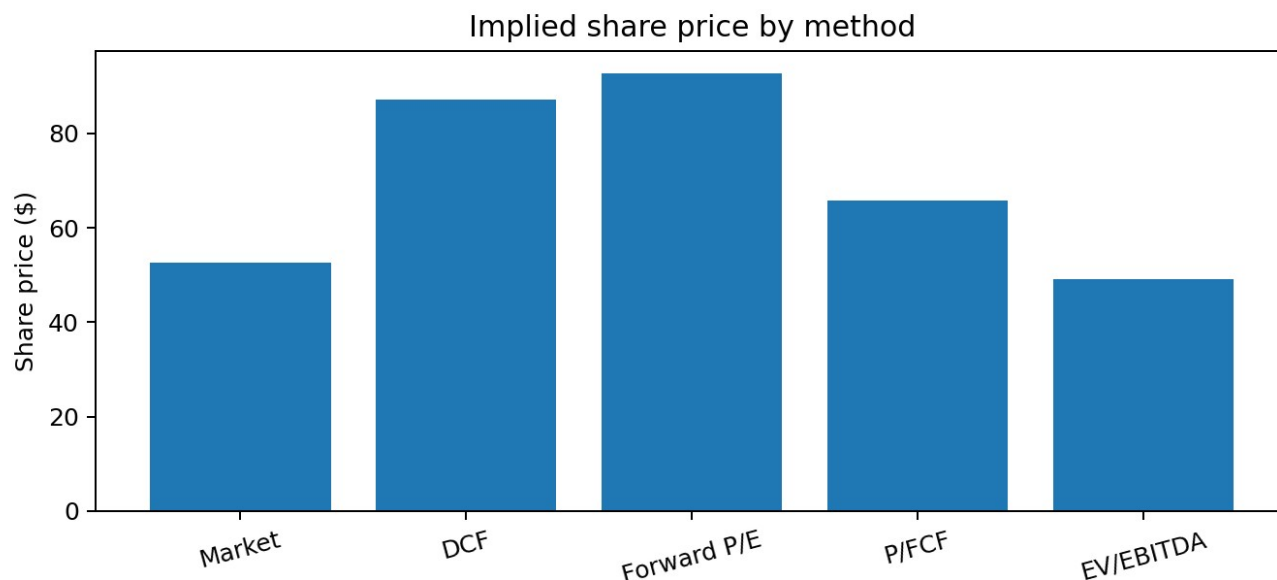
Equity value: \$84.3B

Implied share price: \$87.08

Sensitivity analysis

Terminal growth / WACC	8.0%	8.5%	9.0%	9.5%	10.0%
2.0%	\$98.92	\$91.22	\$84.61	\$78.90	\$73.89
2.5%	\$106.18	\$97.25	\$89.69	\$83.21	\$77.60
3.0%	\$114.89	\$104.37	\$95.61	\$88.20	\$81.84
3.5%	\$125.54	\$112.92	\$102.61	\$94.01	\$86.74

3. Comparable-company cross-check and risks



Comparable-company approach

The model uses Block, Fiserv and Global Payments as the closer operating peer group for selected median multiples. Visa and Mastercard are retained as reference companies but are not treated as perfect comparables because network economics and profitability differ materially from PayPal.

Method	Implied share price
Forward P/E	\$92.74
P/FCF	\$65.67
EV/EBITDA	\$49.17
DCF	\$87.08

Key risks

- Revenue growth could slow more than forecast as competition in digital payments remains intense.
- Operating-margin improvement may not persist if customer acquisition, product or compliance costs rise.
- DCF value is sensitive to WACC and terminal-growth assumptions because terminal value is a large portion of enterprise value.
- Comparable-company results depend heavily on peer selection and business-model differences.
- Aggressive share repurchases can support EPS, but value creation depends on the price paid and future cash generation.
- Regulatory changes, consumer-spending weakness and higher discount rates could reduce equity value.

Conclusion

The analysis shows a broad valuation range from approximately \$49.17 to \$92.74 per share across the selected methods, with the DCF at \$87.08. The range is more informative than any single point estimate and highlights the importance of growth, margin, discount-rate and peer-selection assumptions.

Educational portfolio project - not investment advice.